US ECONOMICS ANALYST

Earnings Season Takeaways: Resilient, but for How Long?

Ronnie Walker
+1(917)343-4543 |
ronnie.walker@gs.com
Goldman Sachs & Co. LLC

- With nearly all the S&P 500 now reported, we analyze Q1 company results and management commentary in order to draw macroeconomic lessons from micro-level insights.
- **Companies reported strong and broad-based revenue growth, reaffirming that economic activity increased at a solid pace.** Our preferred guidepost for economic activity among S&P 500 companies—real revenues excluding the volatile energy sector—rose 6.3% year-over-year.
- **Companies reported limited evidence of any slowdown in spending growth so far despite the Iran war and jump in oil prices but voiced concern about the near-term outlook.** We expect below-consensus real consumer spending growth of just 1.3% in 2026H2, reflecting the poor starting point for consumer cashflow (the personal saving rate is low and real disposable income fell 1.1% year over year in last week's April personal income report), the fading boost from strong tax refunds, and a continued headwind from elevated inflation.
- **The war put upward pressure on input costs and downward pressure on company margins.** Our company price announcement tracker—which captures both prices paid and received—increased to its highest level since late 2023. When discussing higher prices, companies most frequently mentioned the impact of higher oil prices but also noted increases in the costs of shipping, resin-based materials, and computer memory. Companies expect higher input costs to put downward pressure on margins in Q2: analysts revised their margin expectations—a proxy for corporate guidance—down the most in the sectors for which our price announcement tracker increased the most.
- **AI investment continues to support strong economywide capex growth.** Hyperscaler capex plans once again surprised to the upside. Analysts revised their 2026 expectations—a proxy for corporate guidance—12% higher from the start of the earnings season to over $750bn, corresponding to 83% growth vs. 2025. We expect business fixed investment in the national accounts to grow nearly 8% this year, reflecting a 3pp boost from AI-related spending as well as a 3pp boost from the tax incentives in last year's fiscal package.
- **Limited impact from AI on the labor market so far, but lessons from early movers.** A very modest share of management teams mentioned AI when discussing layoffs and hiring freezes, and business surveys and our own analysis

suggest that the labor market impact has been limited so far. That said, in a narrow segment of the economy—tech companies and startups—the frequency of companies tying layoffs to AI increased sharply this month, with companies often attributing the recent reductions to advances in agentic models. Companies reporting AI-driven layoffs most frequently reported cuts to operations, data labeling, software development, and customer support roles. However, online job postings data from LinkUp suggest that those same companies have increased their demand for other roles, such as those focused on computer hardware and systems engineering and research.

Earnings Season Takeaways: Resilient, but for How Long?

We review the Q1 corporate earnings season by analyzing company fundamentals, equity analyst forecasts, company-level alternative data, and management commentary.

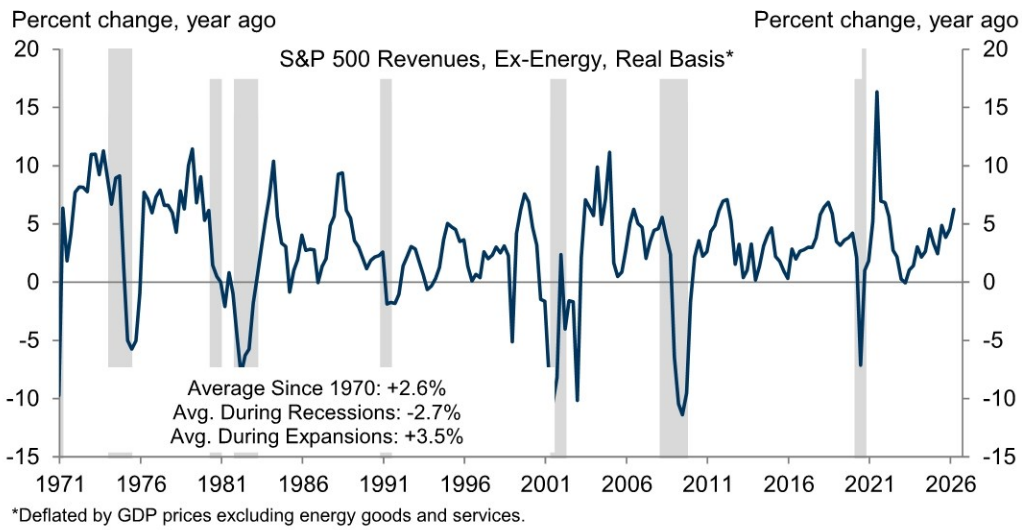
Another Quarter of Strong Results

With nearly all the S&P 500 now reported, the Q1 earnings season was again characterized by strong fundamentals. Q1 earnings are on track to grow 26% year-over-year[1] (vs. an expectation of 12% at the start of earnings season), earnings grew a robust 14% for the median S&P 500 company (vs. 8%), and analysts raised their earnings estimates for the remainder of the year.

In Exhibit 1, we plot our preferred guidepost for economic activity for the S&P 500: revenues excluding the volatile and idiosyncratic energy sector, converted to real terms using the GDP price deflator (ex-energy). On this basis, real revenues rose 6.3% year-over-year in Q1, the fastest pace since 2021 and near the top-end of the range seen last cycle.

The current pace of S&P 500 revenue growth is elevated relative to GDP growth, even after accounting for the fact that the S&P 500 is more cyclical than the broader economy—the historical relationship between the two suggests that the 2.6% year-over-year increase in real GDP in Q1 is consistent with S&P 500 real revenue growth just below 4%. The current outperformance reflects that there has been particularly strong revenue growth among the largest public companies—real revenues have increased by a more moderate 5% over the last year for the median S&P 500 company—and especially the large tech companies—real revenues have increased by 2% for the S&P 500 excluding the tech and energy sectors.

Exhibit 1: Real Corporate Revenues Grew a Strong 6.3% Year-over-Year in 2026Q1



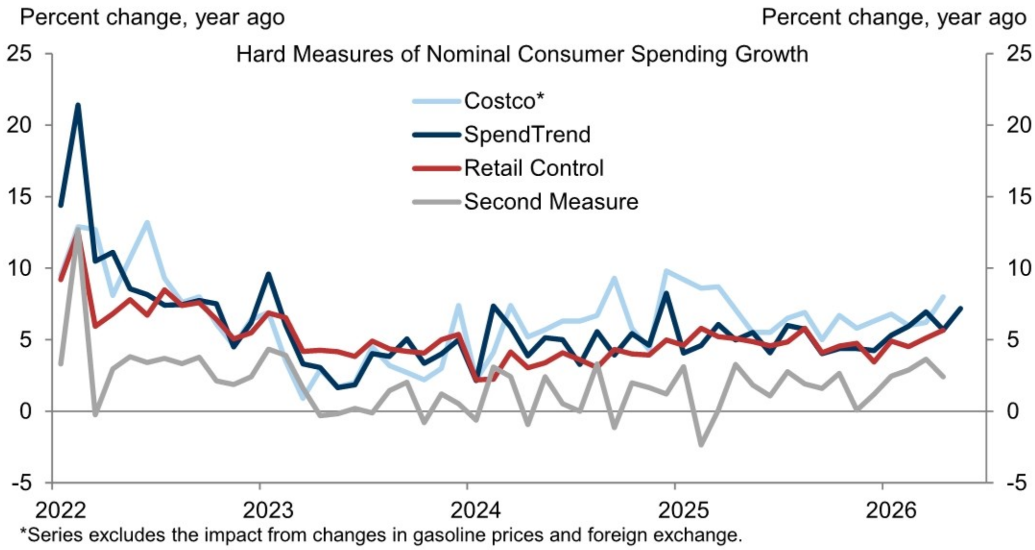
Source: Standard and Poor's, Goldman Sachs Global Investment Research

[1] About 8pp of the surprise appears to reflect large tech companies marking to market the appreciation of equity stakes in private companies.

Impacts of the War: A More Challenging Consumer Outlook

Despite the sharp rise in oil prices, company commentary and results suggest that the consumer remained healthy in the first quarter. Sales growth among consumer-facing companies improved—sales increased 9% year-over-year among the median S&P 500 consumer discretionary company and 5% for the median consumer staples company. That message from company results is corroborated by the official statistics and alternative data: Exhibit 2 shows that monthly measures of nominal consumer spending—including those that exclude gasoline purchases—have continued to grow at roughly the same rate for the last few months.

Exhibit 2: Alternative Measures of Nominal Consumer Spending Growth Remain Solid

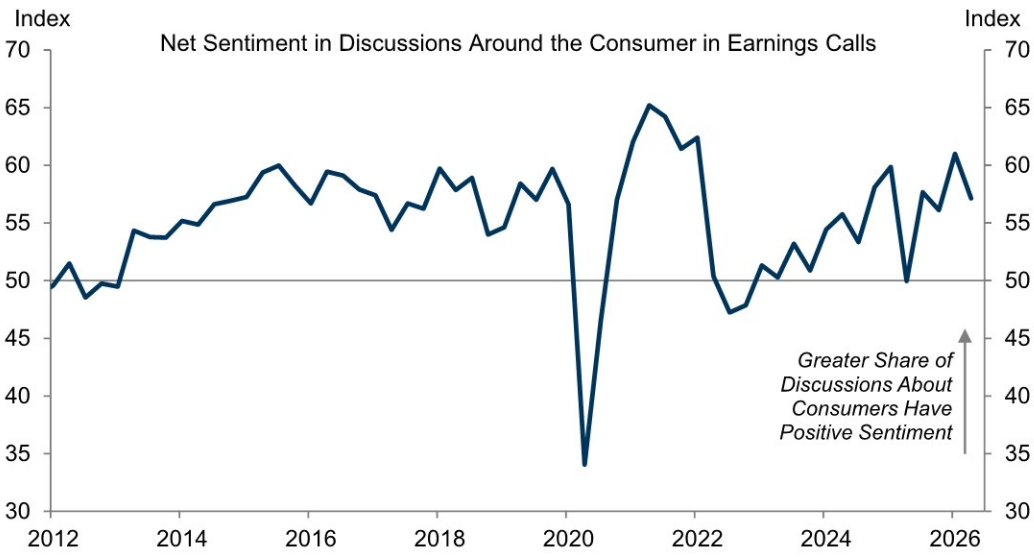


Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

However, companies voiced concerns that we share about the near-term consumer outlook, and Exhibit 3 shows that our quantitative measure of sentiment around the consumer on earnings calls declined sequentially.[2]

[2] To construct our index, we start with a database of earnings transcripts assembled by GS Data Works. We limit our sample to paragraphs that include terms and phrases related to consumers. We then use semantic analysis to classify the sentiment expressed in each paragraph as positive, negative, or neutral. Finally, we compute a quarterly diffusion index that takes the difference between the share of positive paragraphs and the share of negative paragraphs and is centered around 50.

Exhibit 3: Sentiment Around the Consumer Declined but Remained Around Its Historical Average

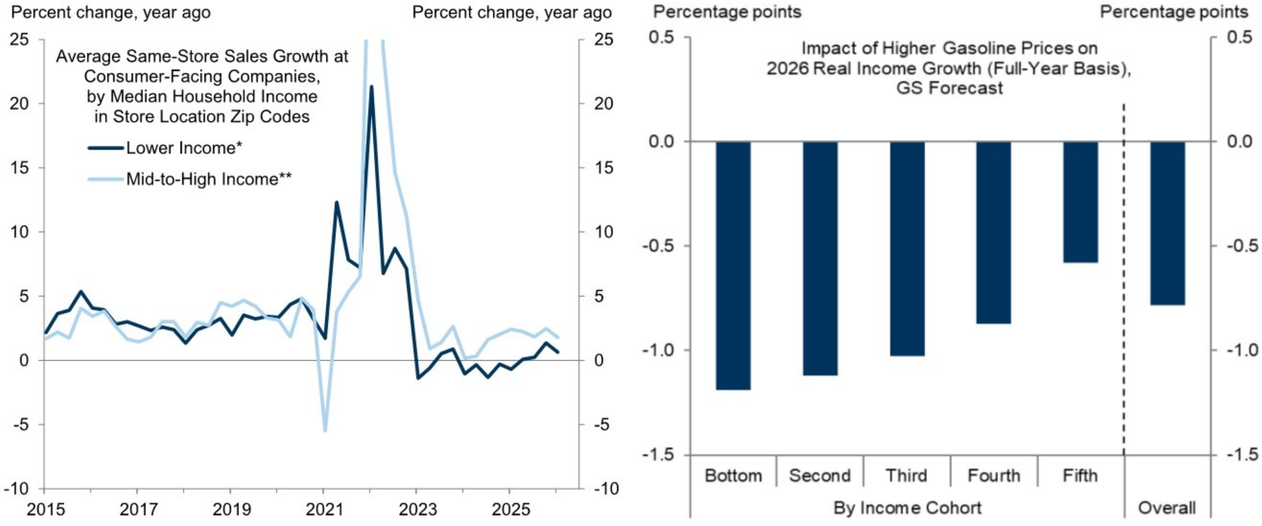


Source: Goldman Sachs Global Investment Research

Discussed in more detail in our just-published note, we expect below-consensus real consumer spending growth of just 1.3% in 2026H2, reflecting the poor starting point for consumer cashflow (the personal saving rate is low and real disposable income fell 1.1% year over year in last week's April personal income report), the fading boost from strong tax refunds, and a continued headwind from elevated inflation and gasoline prices.

Differences in spending growth for low- and high-income households appeared to be normalizing on the eve of the rise in oil prices. The left panel of Exhibit 4 updates our analysis that compares nominal same-store sales growth for retailers that are generally located in lower-income zip codes to those that are in higher-income zip codes. Over the last year, the gap between their sales narrowed from 3.1pp in 2025Q1 to 1.1pp in 2026Q1. However, for the remainder of the year, consumption growth is likely to be weaker at the low end, where government spending cuts will hit hardest, lower immigration will weigh more on job and income growth, and higher gasoline prices will disproportionately burden households (Exhibit 4, right panel).

Exhibit 4: Sales Growth Between Companies Exposed to Households on Different Ends of the Income Spectrum Had Narrowed Over the Last Couple of Quarters, but the Rise in Gasoline Prices Will Weigh More on Consumption Growth at the Low End This Year



* 15 companies for which the median household income in the zip codes containing store locations is <80k/year on average. Includes DG, DLTR, TSCO, BIG, WMT, KR.

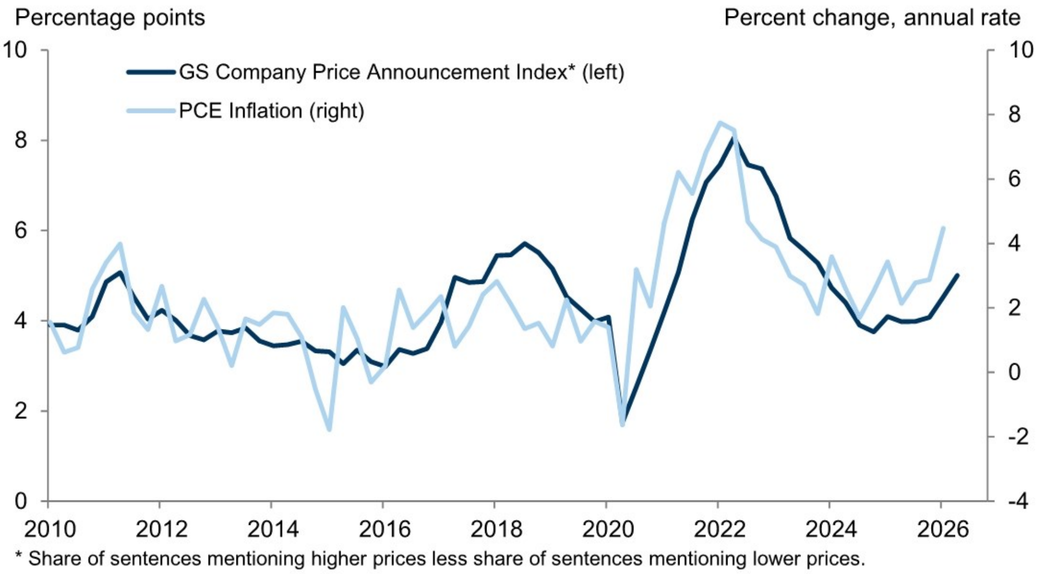
** 20 companies for which the median household income in the zip codes containing store locations is >=80k/year on average. Includes JWN, URBN, LULU, SFM, GAP, COST, TGT.

Source: Company data, Goldman Sachs Global Investment Research

Impacts of the War: Upward Pressure on Input Costs and Downward Pressure on Margins

Exhibit 5 shows that our company price announcement tracker—which captures both prices paid and received—increased to its highest level since late 2023 but remained well below its 2022 peak. When discussing higher prices, companies most frequently mentioned the impact of higher oil prices but also noted increases in other input costs, such as shipping, resin-based materials, and computer memory.

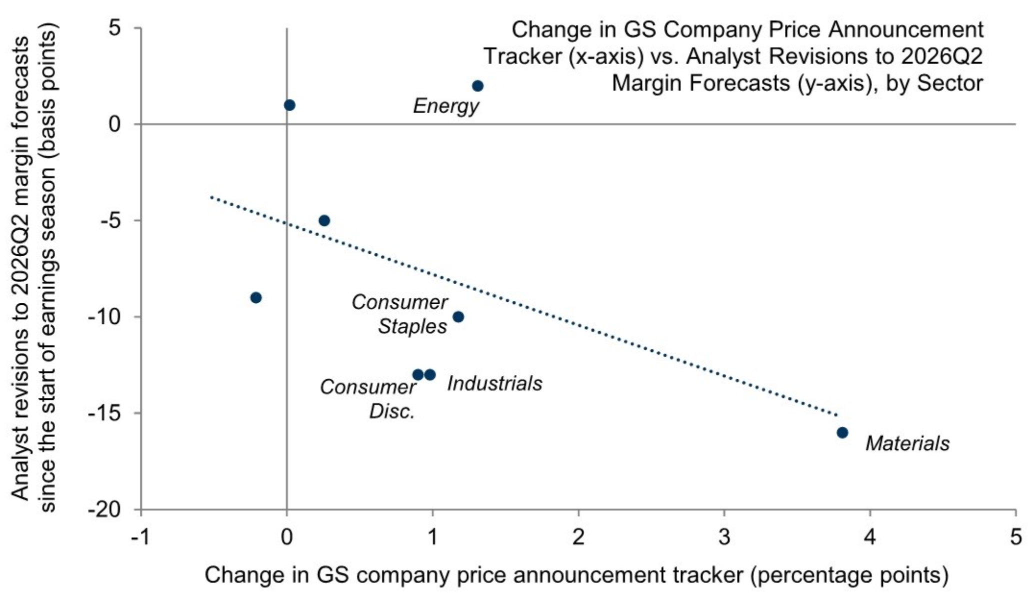
Exhibit 5: Our Company Price Announcement Tracker Increased to the Highest Level Since 2023 but Remained Well Below its 2022 Peak



Source: Department of Commerce, Goldman Sachs Global Investment Research

Companies appear to expect these higher input costs to put downward pressure on margins in Q2. Exhibit 6 shows that analysts revised their margin expectations—a proxy for corporate guidance—down the most in the sectors for which our price announcement tracker increased the most.

Exhibit 6: Analysts Revised Their Margin Expectations—a Proxy for Corporate Guidance—Down the Most in the Sectors Facing the Greatest Input Cost Increases From the War



Source: FactSet, Goldman Sachs Global Investment Research

While the rise in energy prices will again delay progress on inflation, we believe that underlying price pressures remain benign. In particular, cost pressures from the labor market look quite restrained. Exhibit 7 shows that mentions of wages and labor costs on earnings calls fell to the bottom of the pre-pandemic range, and our tracker suggests that wages have increased 3.6% over the last year and 3.1% annualized in Q1, below the 4% rate we estimate would be consistent with 2% price inflation.

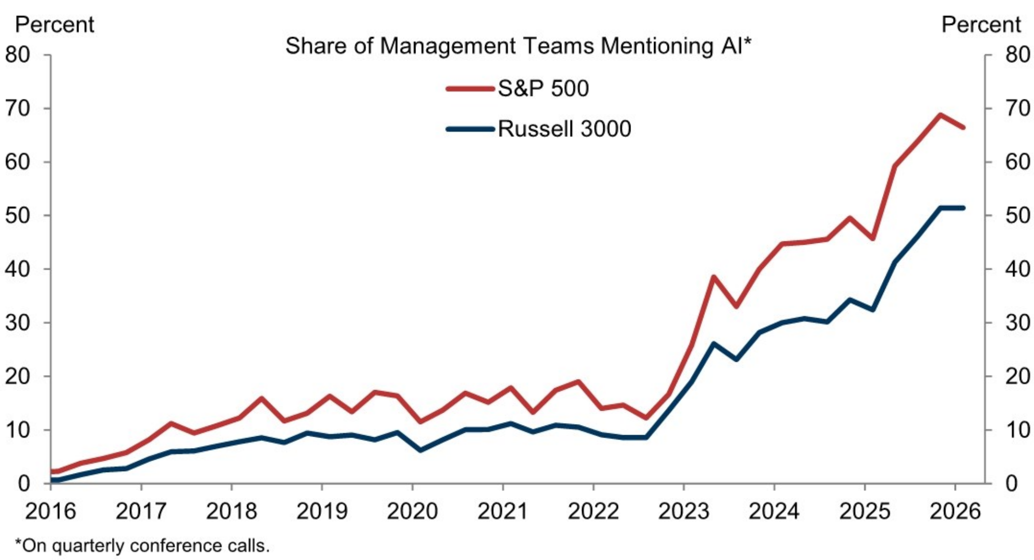
Exhibit 7: Worries Over Labor Costs Have Fallen to the Lowest Levels in a Decade

Source: GS Dataworks, Goldman Sachs Global Investment Research

Continued Focus on AI: Surging Investment, Limited Layoffs

Discussions about AI continued to dominate earnings calls. Exhibit 8 shows that 66% of S&P 500 management teams discussed AI.

Exhibit 8: 66% of S&P 500 Management Teams Mentioned AI on Q1 Earnings Calls



Source: GS Dataworks, Goldman Sachs Global Investment Research

Company discussions about AI centered on two macro-relevant contexts. The first context was capex. Hyperscaler capex plans once again surprised to the upside. Exhibit 9 shows that analysts revised their 2026 expectations 12% higher from the start of the earnings season to over $750bn, corresponding to 83% growth vs. 2025.

In contrast to the slowdown we expect in consumer spending, we expect continued rapid growth in business fixed investment in the national accounts. Detailed in our mid-year capex update, we expect real business fixed investment to grow nearly 8% this year, reflecting a 3pp boost from AI-related spending as well as a 3pp boost from the tax incentives in last year's fiscal package.

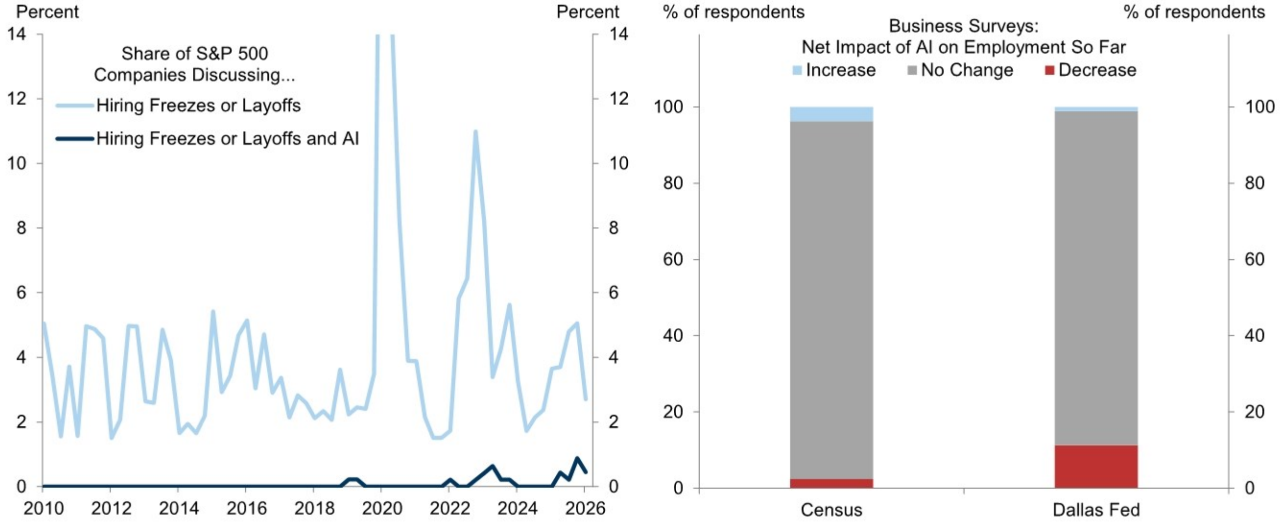
Exhibit 9: The Hyperscalers Are Expected to Spend Roughly $750bn on Capex This Year, 12% Above Expectations at the Start of the Earnings Season

Source: FactSet, Goldman Sachs Global Investment Research

The second context was the labor market. The left panel of Exhibit 10 shows that a modest share of management teams mentioned AI when discussing layoffs or hiring freezes in Q1.

While AI appears to be impacting some narrow slices of the labor market, our analysis and recent business surveys (Exhibit 10, right panel) suggest a limited impact on net employment so far. That said, our analysis also suggests that AI will reshape the labor market over time, and those same business surveys suggest that companies believe an AI-related impact is more a matter of "when" than "if." Nearly half of respondents to a recent Dallas Fed survey expected AI to either change the type of workers they need or reduce their employment over the next few years.

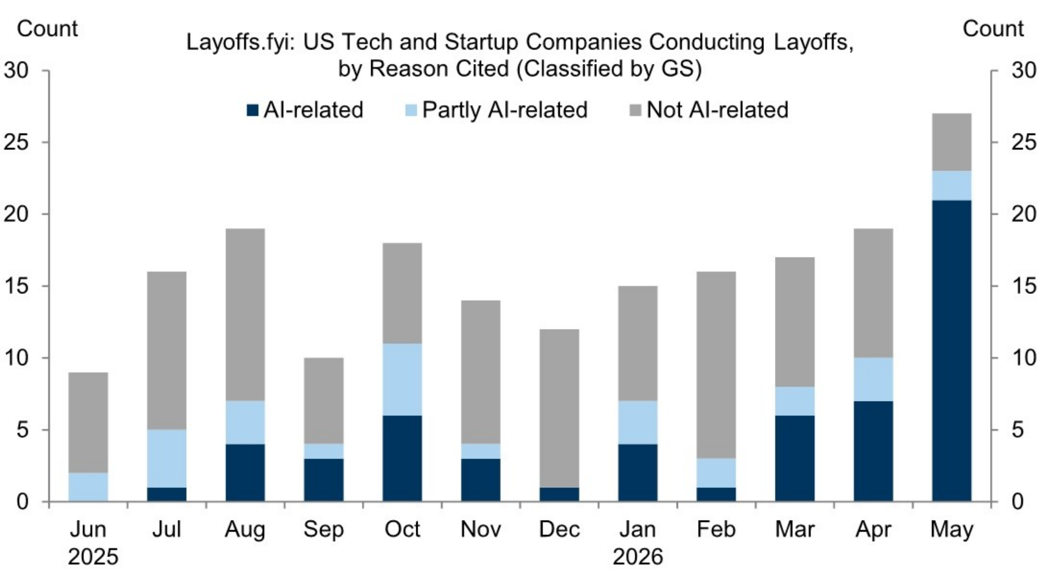
Exhibit 10: A Modest Share of Management Teams Mentioned AI When Discussing Hiring Freezes or Layoffs; Surveys of Businesses Suggest a Limited Impact on Net Employment



Source: GS Dataworks, Department of Commerce, Federal Reserve, Goldman Sachs Global Investment Research

To explore how AI might shape labor demand going forward, we reviewed roughly 200 layoff announcements from US tech companies and startups over the last year listed on Layoffs.fyi. Exhibit 11 shows that the frequency of these companies tying layoffs to AI increased sharply this month, with layoffs often attributed to advances in agentic models and/or shifting to an "AI-first" business approach.

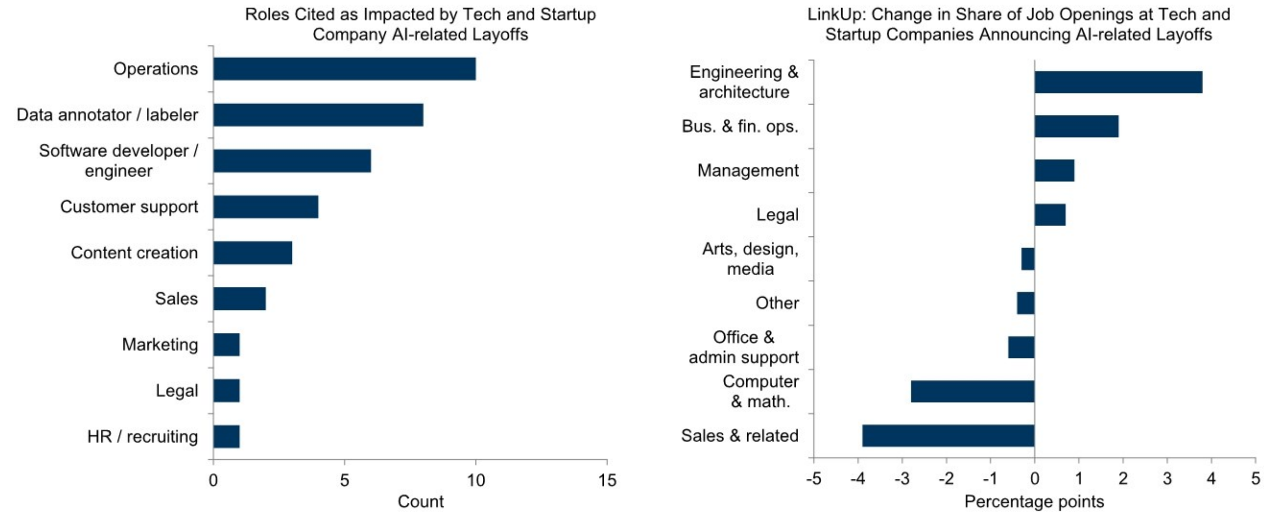
Exhibit 11: Over the Last Month, Tech Companies Have Announced AI-Related Layoffs



Source: Layoffs.fyi, Goldman Sachs Global Investment Research

The companies reporting AI-driven layoffs most frequently reported cuts to operations, data labeling, software development, and customer support roles (Exhibit 12, left panel). The right panel of Exhibit 12 shows that those cuts are matched by reductions in online job postings by those companies for those kinds of roles. That same data suggests that those companies have increased their demand for other roles, such as those focused on computer hardware and systems engineering, computer research, and business operations.

Exhibit 12: Companies Report Cutting Operations, Data Labeling, Software Development, and Customer Support Roles; Online Job Openings for Tech Companies and Startups That Announced AI-Related Layoffs Suggest an Increase in Demand for Computer Hardware Engineering and Research Roles



Source: LinkUp, Goldman Sachs Global Investment Research

Ronnie Walker

The US Economic and Financial Outlook

THE US ECONOMIC AND FINANCIAL OUTLOOK
(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025 Q4	2026 Q1	2026 Q2	2026 Q3	2026 Q4	2027 Q1	2027 Q2	2027 Q3	2027 Q4
OUTPUT AND SPENDING														
Real GDP	2.9	2.8	2.1	2.0	2.0	0.5	1.6	1.9	1.8	1.8	2.0	2.1	2.2	2.3
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.0	1.8	2.1	2.0	2.6	2.1	1.5	1.8	1.9	1.9	2.0	2.1
Consumer Expenditures	2.6	2.9	2.6	1.8	1.7	1.9	1.4	1.4	1.3	1.3	1.9	2.0	2.1	2.2
Residential Fixed Investment	-7.8	3.2	-2.2	-4.2	1.4	-1.7	-6.3	-6.9	1.5	1.5	2.2	2.2	2.2	2.2
Business Fixed Investment	7.3	2.9	4.1	6.4	5.7	2.4	10.1	6.4	7.5	6.9	4.9	4.9	4.9	4.9
Structures	16.7	1.1	-5.3	-4.1	1.9	-6.6	-5.4	-1.2	-1.0	-0.2	3.5	3.5	3.5	3.5
Equipment	2.9	3.5	8.3	10.4	7.0	4.3	17.2	11.8	11.0	9.5	5.0	5.0	5.0	5.0
Intellectual Property Products	6.2	3.5	5.6	7.9	6.2	5.4	11.6	5.0	8.2	7.8	5.5	5.5	5.5	5.5
Federal Government	3.3	3.8	-1.2	-1.0	0.9	-16.7	9.5	0.0	1.0	1.0	1.0	1.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	1.3	0.9	1.5	1.5	0.5	0.5	1.0	1.0	1.0	1.0	1.0
Net Exports ($bn, '17)	-925	-1,033	-1,091	-1,136	-1,222	-969	-1,064	-1,140	-1,160	-1,182	-1,198	-1,214	-1,230	-1,246
Inventory Investment ($bn, '17)	47	44	29	43	66	-16	-26	66	66	66	66	66	66	66
Nominal GDP	6.7	5.3	5.0	5.8	4.6	4.2	5.2	7.8	4.5	4.3	4.5	4.4	4.4	4.4
Industrial Production, Mfg.	-1.0	-1.0	0.8	3.1	3.6	-3.4	5.3	6.2	4.4	3.7	3.2	3.2	3.2	3.3
HOUSING MARKET														
Housing Starts (units, thous)	1,421	1,370	1,356	1,286	1,322	1,323	1,280	1,290	1,280	1,292	1,304	1,316	1,328	1,340
New Home Sales (units, thous)	666	684	671	670	644	680	690	690	662	638	626	632	649	670
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,212	4,375	4,157	4,169	4,189	4,223	4,267	4,310	4,353	4,396	4,440
Case-Shiller Home Prices (%yoy)*	5.3	3.8	0.6	0.8	2.2	0.6	0.3	0.8	0.7	0.8	1.1	1.4	1.8	2.2
INFLATION (% ch, yr/yr)														
Consumer Price Index (CPI)**	3.3	2.9	2.7	3.7	2.1	2.7	2.7	3.8	3.6	3.7	3.4	2.4	2.4	2.2
Core CPI **	3.9	3.2	2.6	2.5	2.1	2.7	2.5	2.8	2.5	2.5	2.3	2.1	2.1	2.1
Core PCE** †	3.1	3.0	3.0	2.8	2.1	2.9	3.1	3.3	3.1	2.9	2.4	2.1	2.0	2.1
LABOR MARKET														
Unemployment Rate (%)^	3.8	4.1	4.4	4.6	4.4	4.4	4.3	4.4	4.6	4.6	4.6	4.5	4.5	4.4
U6 Underemployment Rate (%)^	7.2	7.6	8.4	8.7	8.3	8.4	8.0	8.4	8.6	8.7	8.7	8.6	8.4	8.3
Payrolls (thous, monthly rate)	210	122	10	51	92	-39	63	65	30	47	70	97	100	100
Employment-Population Ratio (%)^	60.1	59.9	59.7	58.9	58.8	59.7	59.2	59.1	59.0	58.9	58.9	58.8	58.8	58.8
Labor Force Participation Rate (%)^	62.5	62.5	62.4	61.8	61.5	62.4	61.9	61.8	61.8	61.8	61.7	61.6	61.6	61.5
Average Hourly Earnings (%yoy)	4.4	3.9	4.0	3.9	3.8	4.0	4.0	4.0	3.9	3.8	3.8	3.8	3.8	3.8
GOVERNMENT FINANCE														
Federal Budget (FY, $bn)	-1,694	-1,833	-1,775	-1,950	-2,050	--	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS														
FF Target Range (Bottom-Top, %)^	5.25-5.5	4.25-4.5	3.5-3.75	3.25-3.5	3-3.25	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3-3.25	3-3.25	3-3.25	3-3.25
10-Year Treasury Note^	3.88	4.58	4.18	4.10	4.15	4.18	4.30	4.30	4.20	4.10	4.10	4.10	4.15	4.15
Euro (€/$)^	1.11	1.04	1.17	1.18	1.20	1.17	1.15	1.16	1.19	1.18	1.19	1.20	1.20	1.20
Yen ($/¥)^	141	157	157	158	141	157	159	158	158	158	156	141	101	141

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.
** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.
† PCE = Personal consumption expenditures. ^ Denotes end of period.
Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

The US Economics Team

Jan Hatzius
+1(212)902-0394
jan.hatzius@gs.com
Goldman Sachs & Co. LLC

Alec Phillips
+1(202)637-3746
alec.phillips@gs.com
Goldman Sachs & Co. LLC

David Mericle
+1(212)357-2619
david.mericle@gs.com
Goldman Sachs & Co. LLC

Ronnie Walker
+1(917)343-4543
ronnie.walker@gs.com
Goldman Sachs & Co. LLC

Manuel Abecasis
+1(212)902-8357
manuel.abecasis@gs.com
Goldman Sachs & Co. LLC

Elsie Peng
+1(212)357-3137
elsie.peng@gs.com
Goldman Sachs & Co. LLC

Pierfrancesco Mei
+1(212)902-8809
pierfrancesco.mei@gs.com
Goldman Sachs & Co. LLC

Jessica Rindels
+1(972)368-1516
jessica.rindels@gs.com
Goldman Sachs & Co. LLC

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Reg AC

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Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Ronnie Walker Goldman Sachs & Co. LLC.

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